Act No. 158 (H.915). An act relating to establishing an extended producer responsibility program for beverage containers

Subjects: Conservation and development; beverage container redemption; extended producer responsibility

This act amends the requirements for beverage container redemption in the State. The act does not amend the type of beverages or containers subject to redemption, except that beverage containers with a volume greater than three liters are not subject to redemption. The act adds a new definition of deposit initiator as the first manufacturer or distributor to collect a deposit on a container. Many of the requirements for beverage container redemption are amended to apply to the deposit initiator instead of a manufacturer or distributor.

The act increases from three and one-half cents to four and one-half cents the handling fee a deposit initiator pays a retailer or redemption center for redeemed containers that are part of a commingling program. The act increases from four to five cents the handling fee a deposit initiator pays retailers and redemption centers for redeemed containers that are not part of a commingling program. The act provides that beginning on March 1, 2029, a retailer or redemption center shall be reimbursed under the fair compensation requirements of a stewardship plan administered by a producer responsibility organization (PRO) of beverage manufacturers and distributors.

The act repeals the requirement that metal beverage containers must be labeled on their top and instead allows for any container to be labeled with an Agency of Natural Resources (ANR)–approved method that secures the information to the container. The act requires each beverage container sold or offered for sale in the State that has a deposit to include a Universal Product Code and barcode. The act also clarifies the redemption requirements for liquor containers, including increasing the handling fee that the Department of Liquor and Lottery pays to retailers and redemption centers for redeemed liquor containers to four and one-half cents per redeemed container.

The act provides that beginning on July 1, 2027, a deposit initiator may not sell or distribute a beverage container in the State without participating in an ANR-approved PRO. On or before January 1, 2027, deposit initiators are required to form a PRO to implement a stewardship plan for the redemption and disposition of beverage containers. The PRO is required to maintain a website that identifies each manufacturer participating in the PRO and the name of each beverage and container size covered by the stewardship plan. If the deposit initiators fail to form a PRO or implement a stewardship plan, the act authorizes ANR to implement the stewardship plan and charge deposit initiators the cost of the plan implementation plus a 25 percent penalty.

The act requires the PRO stewardship plan to meet specified minimum requirements. The plan shall ensure that consumers have convenient redemption opportunities, and the

PRO shall take reasonable efforts to site points of redemption equitably across the State. A plan shall document how redemption services will be available to consumers as follows: at least three points of redemption per county, at least one of which provides an immediate return of a deposit to a consumer unless a waiver is granted by the Secretary; at least one point of redemption per municipality with a population of 7,000 or more that provides immediate return of a deposit to a consumer unless ANR determines requiring immediate return would create an impediment to effective redemption; and by taking reasonable efforts to site points of collection in areas with high population density or located in designated centers.

The act requires the stewardship plan to describe how redemption locations are fairly compensated for participation in the collection program, provided that from March 1, 2029, until July 1, 2030, the PRO shall pay each location that redeems beverage containers a handling fee of four and one-half cents per container or compensation according to a negotiated agreement. After July 1, 2030, compensation shall be provided to locations under negotiated agreement. Issues regarding compensation agreements shall be addressed through dispute resolution, and the PRO shall report to ANR regarding implementation of the fair compensation requirements.

The act requires the stewardship plan to maximize the use of existing infrastructure when establishing points of redemption and to describe how management and sorting of containers at redemption centers is minimized. The plan shall describe the education efforts to be undertaken to increase redemption. The act also requires the stewardship plan to meet location standards for points of redemption, including hours of operation and timely redemption. The act also requires the PRO to consult with stakeholders in the development of the stewardship plan. The act requires the PRO to initiate implementation of the stewardship plan on March 1, 2029.

The act requires the PRO to report annually to ANR regarding participation in and the implementation of the stewardship plan. Beginning on October 1, 2033, and every five years thereafter, the act requires an independent third party to conduct a program audit of the plan. The act also requires the PRO, beginning on October 1, 2030, and annually thereafter, to conduct a fiscal audit of the PRO, its expenditures, the number of beverage containers collected, and the amount of unclaimed deposits.

The act sets the State goals for minimum beverage container redemption rates. The goals are: beginning on July 1, 2030, 75 percent; and beginning on July 1, 2033, 80 percent. Beginning on December 1, 2030, ANR is required to annually report to the General Assembly the beverage container redemption rate for liquor containers and for all other beverage containers. ANR is required to recommend in each annual report whether the beverage container deposit for a category of containers should increase.

Beginning on March 1, 2029, when the PRO implements the stewardship plan, the act amends requirements for the acceptance of beverage containers for redemption. The act authorizes a retailer to refuse to redeem beverage containers if the plan has been implemented and the retailer’s building is less than 5,000 square feet. The act also allows a manufacturer that sells directly to a consumer to refuse to redeem beverage containers if the retail location where the containers are sold is less than 5,000 square feet. The act requires a redemption location to refuse redemption if the containers are not clean, are broken, are not properly labeled, are known to have been purchased out of State, have already been redeemed, or are not registered with the PRO.

The act authorizes transfers of funds from the Clean Water Fund to the Waste Management Assistance Fund for four fiscal years beginning in fiscal year 2030. ANR shall use the funds to provide grants to the PRO to assist in implementation of the stewardship plan. In fiscal years 2030 and 2031, the amount transferred and the maximum amount of grants each fiscal year shall be $1,000,000.00. In fiscal years 2032 and 2033, the amount transferred and the maximum amounts of grants each fiscal year shall be $750,000.00.

Multiple effective dates, beginning on July 1, 2026